

In 1924 Congoleum Company had outstanding \$1,800,000 of 7% preferred stock junior to \$2,890,000 of bonds and followed by 960,000 shares of common stock having an average market value of some \$48,000,000. In October of that year the company issued 681,000 additional shares of common for the business of the Nairn Linoleum Company, a large unit in the same field, with \$15,000,000 of tangible assets. The enormous equity thus created for the small senior issues made them safe beyond question, but the price of the preferred stock remained under par.

In 1927 Electric Refrigeration Corporation (now Kelvinator Corporation) sold 373,000 shares of common stock for \$6,600,000, making a total of 1,000,000 shares of common stock, with average market value of about \$21,000,000, coming behind only \$2,880,000 of 6% notes, due in 1936. The notes sold at 74, however, to yield 11%. The low price was due to a large operating deficit incurred in 1927, but the market failed to take into account the fact that the receipt of a much greater amount of new cash from the sale of additional stock had established a very strong backing for the small note issue.

These four senior issues have all been paid off at par or higher. (The Congoleum-Nairn Preferred was called for payment at 107 in 1934.) Examples of this kind are convenient for the authors since they do not involve the risk of some later mischance casting doubt upon their judgment. To avoid loading the dice too heavily in our favor, we add another illustration which is current as this chapter is written.

A Current Example. Choctaw and Memphis Railroad Company First 5s, due 1949, were selling in 1939 at about 35, carrying more than 5 years' unpaid interest. They were a first lien on underlying mileage of the Chicago, Rock Island and Pacific System. The Rock Island had been reporting poor earnings since 1930, and all its obligations were in default. However, a segregation of the 1937 earnings by mortgage divisions showed that the Choctaw and Memphis mileage was very profitable and that its interest charges had been covered 2.6 times in that year even though the company had earned only \$2,700,000 toward total interest of \$14,080,000. Furthermore, the several reorganization plans presented up to 1939, including that of the I.C.C. examiner, had all provided for principal and back interest on this issue in full, although virtually the entire remaining bond structure was to be drastically cut down, and total interest charges were to be reduced to less than \$2,500,000 annually.